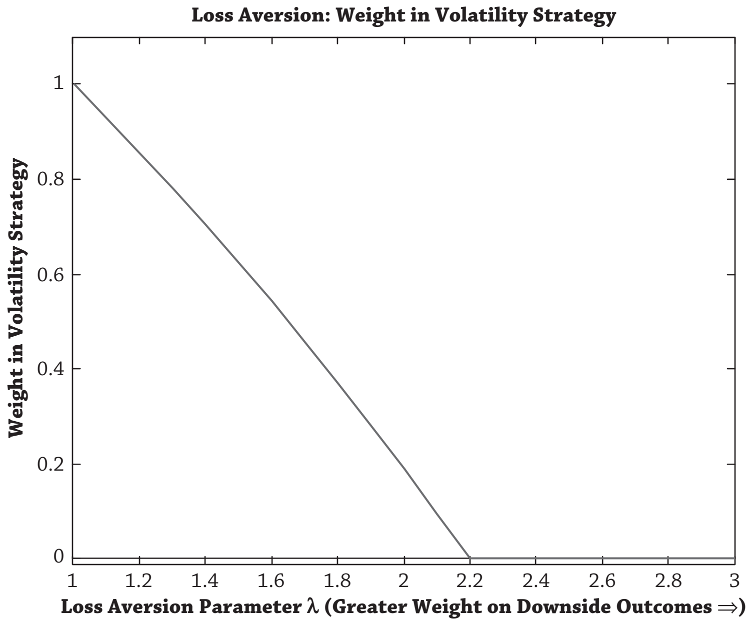

Figure 2.11

he foregoes the volatility strategy entirely and chooses a portfolio consisting wholly of risk-free assets.

4.3. DISAPPOINTMENT AVERSION

Disappointment aversion is the rational cousin to loss aversion. Like loss aversion, the asset owner cares more about downside versus upside outcomes. It is "rational" because it is axiomatically derived (originally by Gul in 1991) and thus it is appealing for those who like the rigor of formal decision theory. This does bring benefits—the disappointment utility function is mathematically well defined and so always admits a solution (while Kahneman-Tversky's specification sometimes sends optimal portfolio weights to unbounded positions), it can be extended to dynamic contexts in a consistent fashion (see chapter 4), and it also gives economic meaning to concepts like reference points that are quite arbitrary in classical loss aversion theory.[22]

The upside outcomes in disappointment aversion are called "elating" and the downside outcomes, "disappointing." This is just relabeling; investors overweight losses relative to gains, just like in loss aversion utility. What is different to loss

[22] See Ang, Bekaert, and Liu (2005) for an asset allocation application of disappointment aversion utility. Disappointment aversion is generalized by Routledge and Zin (2010) so that the reference point is not restricted to be the certainty equivalent.